ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 10 - PREMIUM VS. CARRYING CHARGE MARKET

ICT Monthly Mentorship

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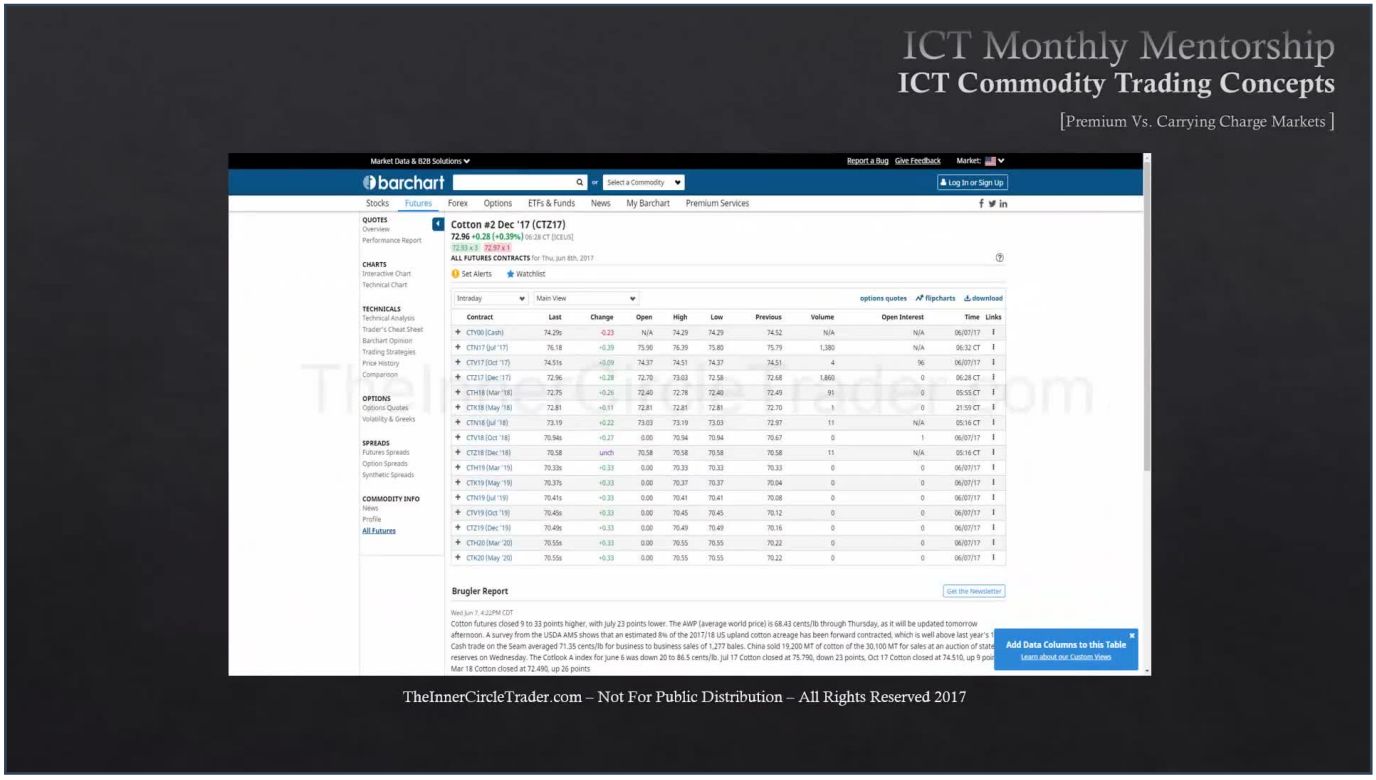
Welcome back, folks. We are discussing commodity trading. It is important to read the disclaimers here. I am not a commodity trade advisor and not licensed to give trade advice. Everything mentioned in these topics referring to Commodities are specifically to be viewed as paper trades only.

This is the June 2017 ICT Mentorship, ICT Commodity Trading Lesson Four: Premium versus Carrying Charge Markets. This lesson will provide an x-ray view of institutional order flow.

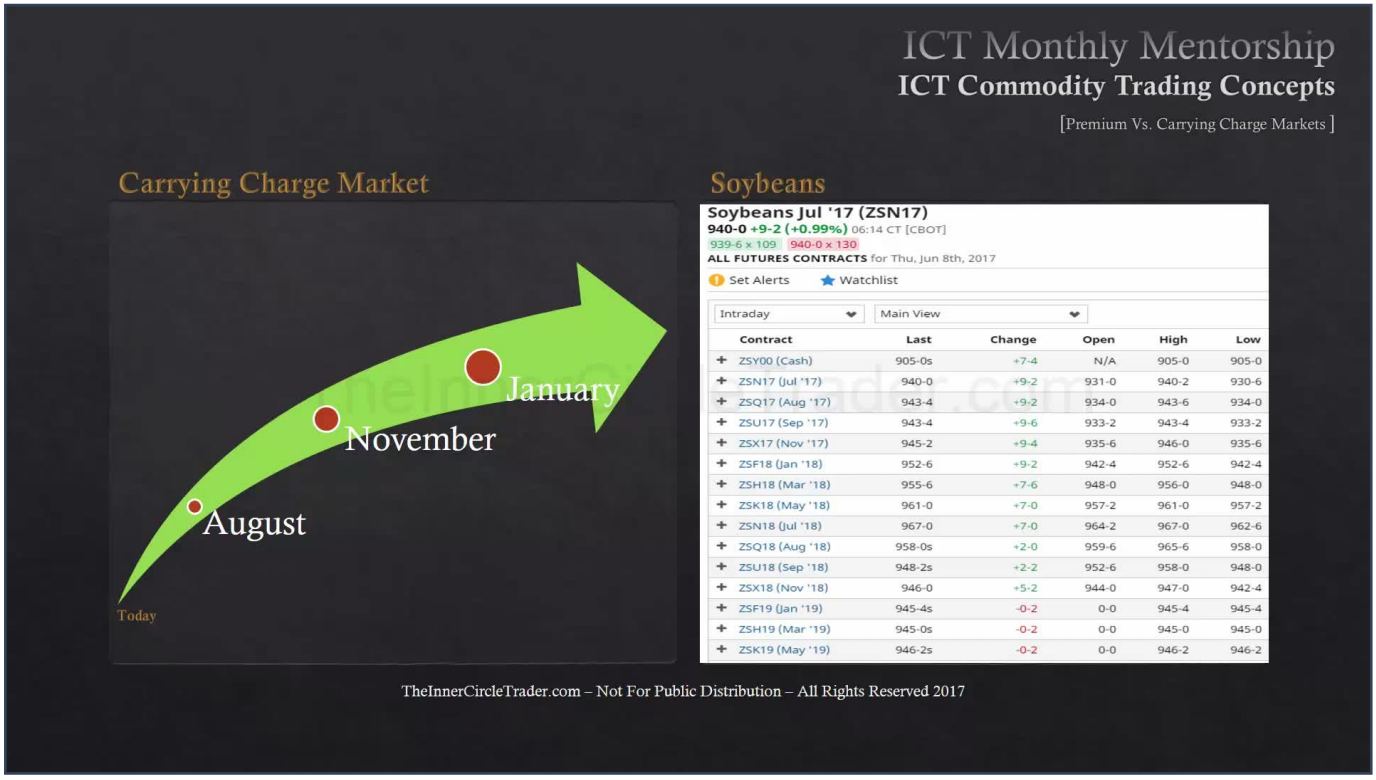


When we look at Commodities, one of the best free resources at your fingertips is on barchart.com. This is what you'll generally see when you click on a commodity.

- It will pull up the contract delivery months that are available.

- You find this by going to the 'select commodity' tab and scrolling down to find whatever commodity you want to analyze.

One of the things you want to do periodically as a commodity trader, once every two to three weeks, is look for markets that are developing a premium. In the past, commodities would be listed in newspapers like the Wall Street Journal, where I would scan for a premium or a lack of premium in the delivery months. Here, we are looking at cotton, and all available trading months for this commodity are listed on barchart.com.

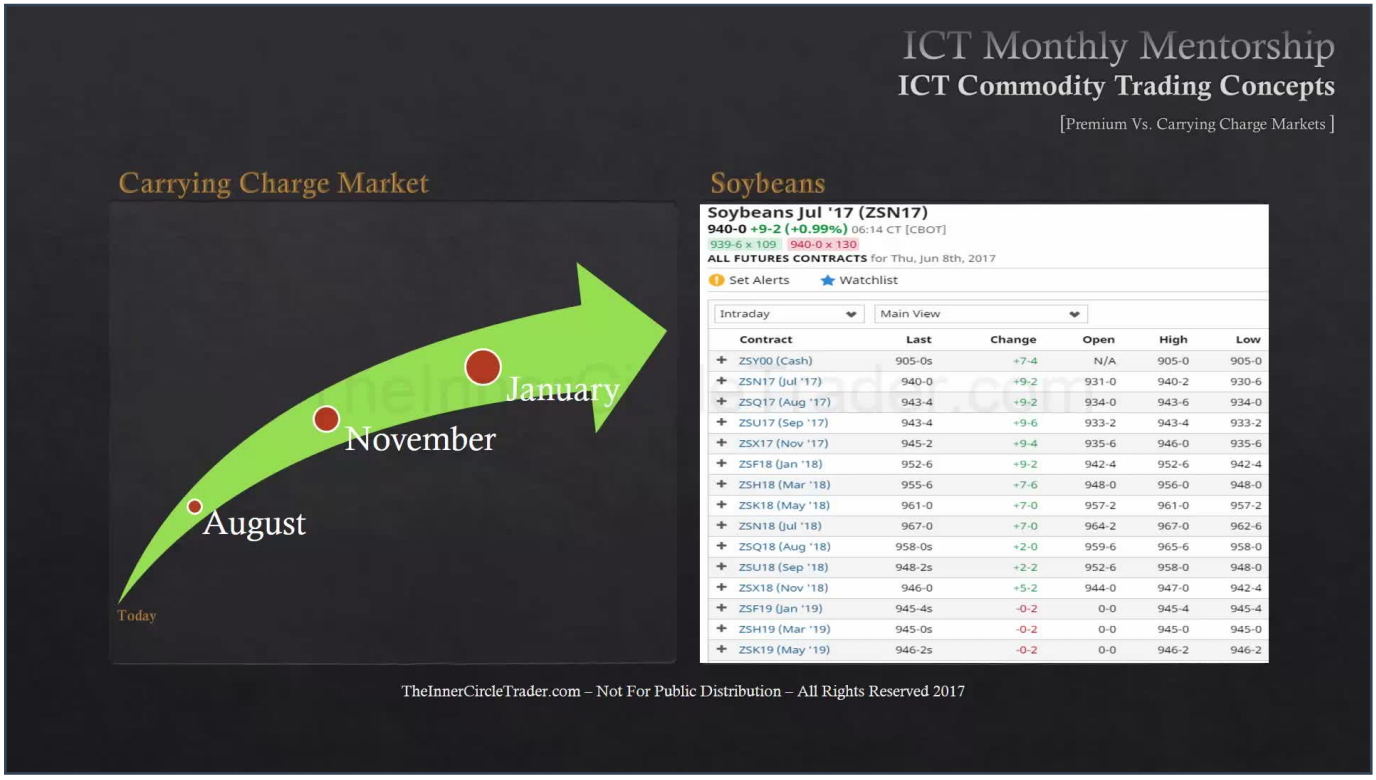


Classically, when we pull up, for instance, soybeans, we assume the 'last' column represents the closing price. Generally, if there's a cash market or commodity, barchart.com will list it first at the top of the list.

- Immediately below that, you'll see the first contract delivery month, referred to as the 'nearby' contract.

- The immediate contract month right after the nearby is always referred to as the 'next month out'.

- We always want to be looking at the nearby and the next month out.



In contrast to a premium, when there is no premium, we have what is referred to as a carrying charge market. A carrying charge market is simply today's price viewed in the nearby contract.

- If today's price for the July 2017 soybeans contract is 940, we should see an increase in the closing price in August (the next month out).

- For example, July 2017 soybeans at 940, August at 9.43 and 4/10, November at 9.45, and January 2018 at 9.52. This is a typical carrying charge market.

This doesn't mean we can't find bull markets in such an environment. It just means the likelihood of a parabolic move, a rapid increase, or an aggressive repricing of the commodity is far less likely to occur than if it had a premium.

IDENTIFYING A PREMIUM MARKET - FEEDER CATTLE EXAMPLE

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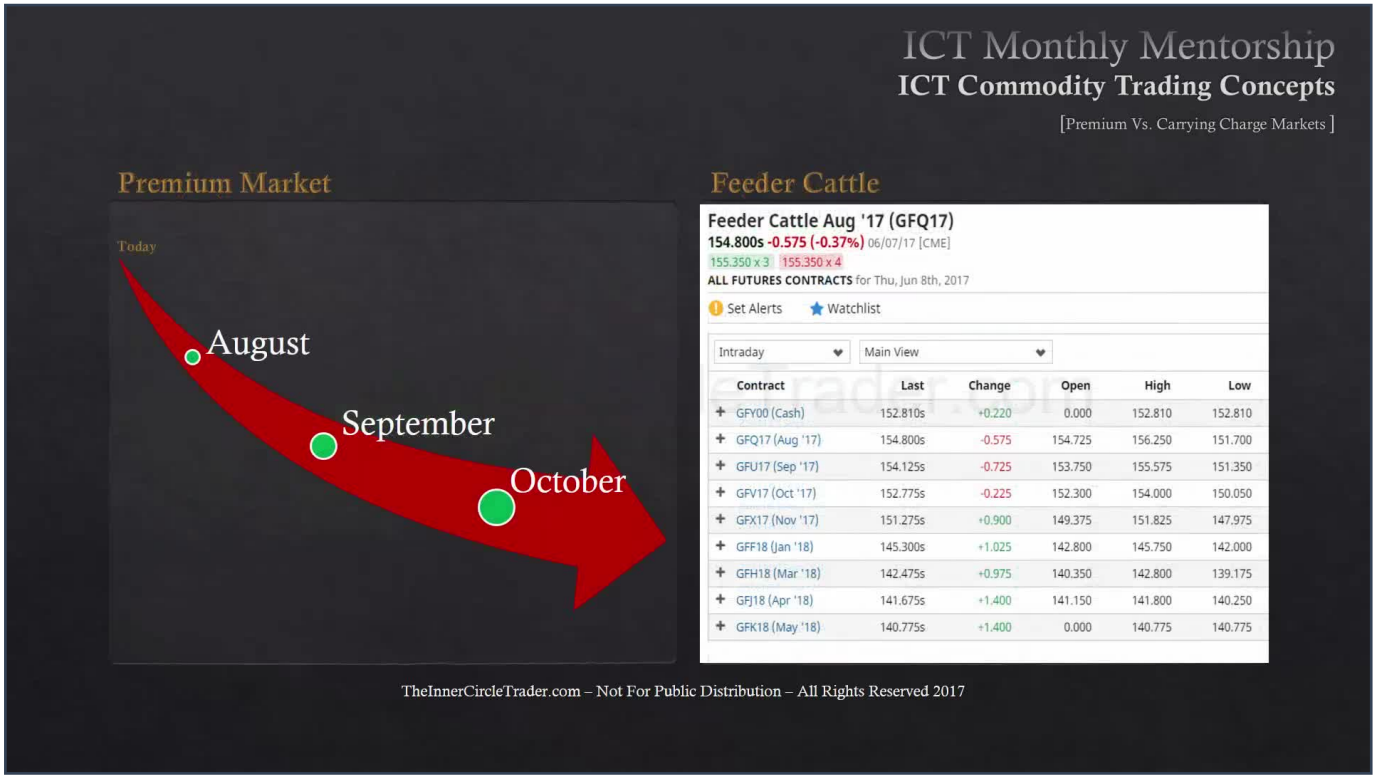


Now, looking at a market that has a premium, we examine feeder cattle on barchart.com. We see the cash market listed first, and the nearby contract (August 2017 feeder cattle) has a closing price of 154.80.

- The next month out, September 2017 feeder cattle, has a price of 154.125.

- The nearby contract is selling at a higher price (not by much, but it's higher), thus we have a premium.

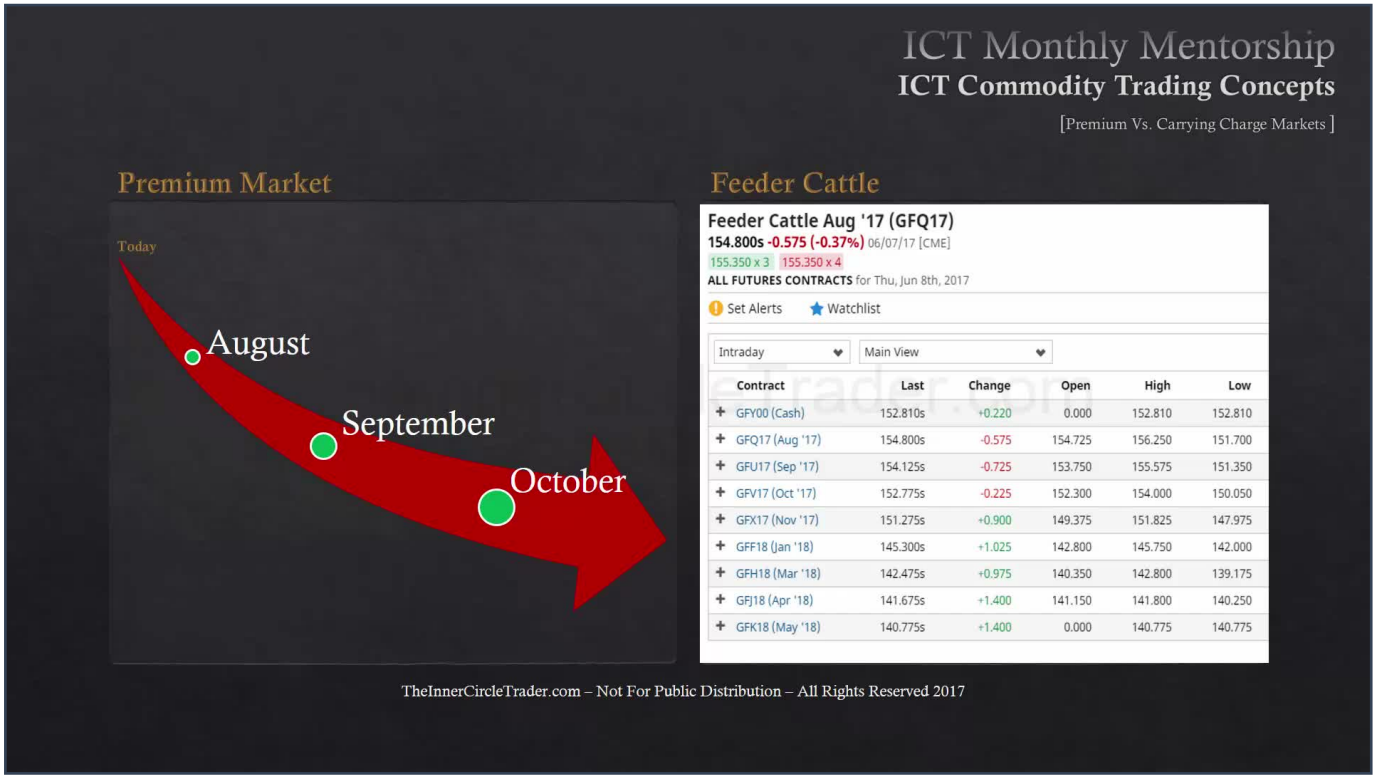
To identify a strong or significant premium, you want to look at the next few months beyond the next month out.

- For August, there's a premium based on September's price.

- In October, it's cheaper at 152.775.

- In November, prices are even lower at 151.275, and they drop further in January to the 145s.

This indicates a premium in the feeder cattle market. This implies something fundamentally strong about that particular commodity: demand is high, and supply is short.



While I typically don't focus on supply and demand for Forex, these are real factors for commodities because they are tangible goods. We are seeing a clear, obvious premium in feeder cattle, which means today's price (nearby contract) is higher than that of the next month out and future months.

This scenario promotes the idea of what is referred to as a 'commercial bull market'. This means that commercials – large, dominant users of this commodity – will be looking to take delivery of it right now, immediately, because they have to have it, and there's a short supply. If they are willing to pay a premium price for it now versus what would be expected as a carrying charge premium later in delivery months, they know something fundamentally requires them to get delivery of this commodity right now. That's what causes these premiums to build up.

PREMIUM MARKET EXAMPLE - LIVE CATTLE

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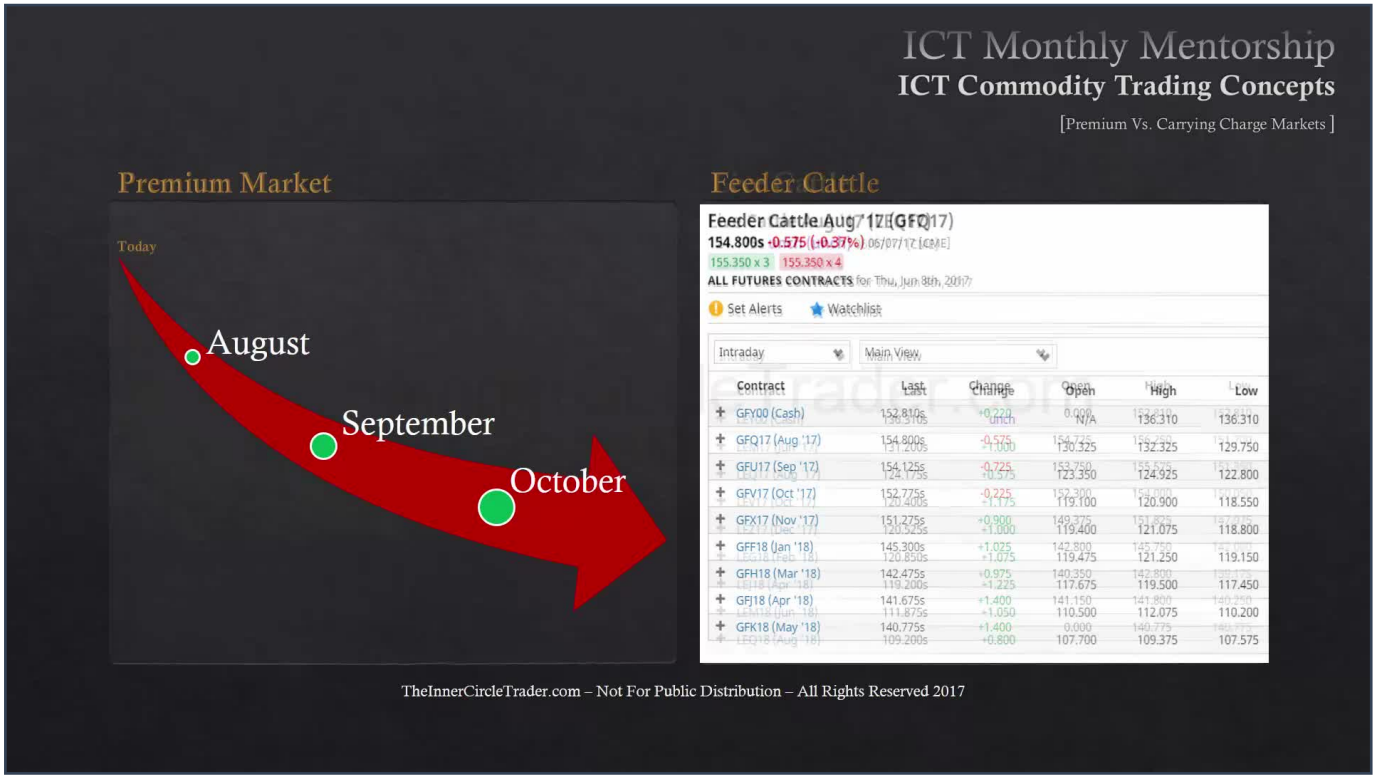
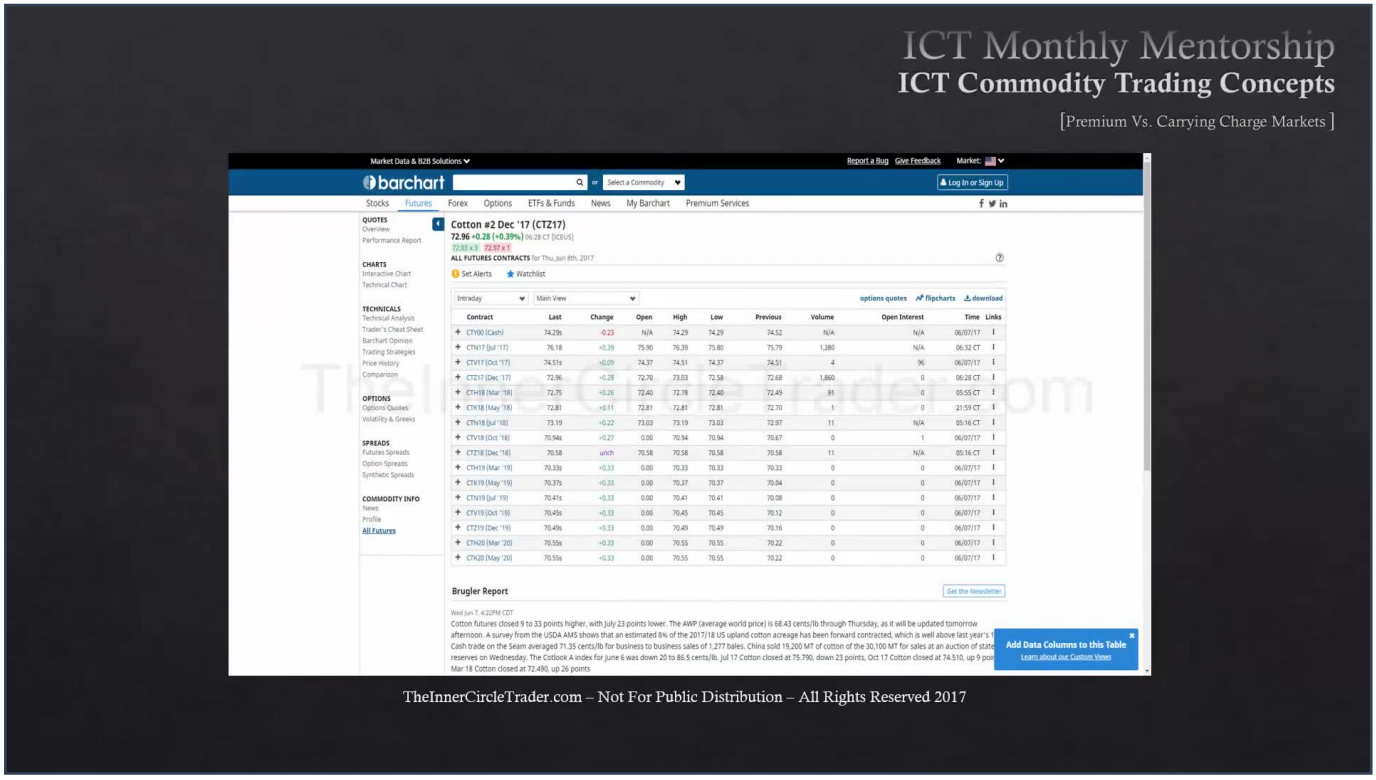


Another example is seen in live cattle. You see the cash market at the top. The delivery month for the nearby is June, with a closing price of 131.20.

- The next month out is August at 124.175.

- In October, we see 120.40.

Again, there's a premium in the nearby month, as future months are selling at a lower price. This implies a short supply, and the interest from traders or those seeking delivery of the actual commodity (cattle) is so strong that they are paying a premium now. This is because supply is short, but demand is exceedingly high.

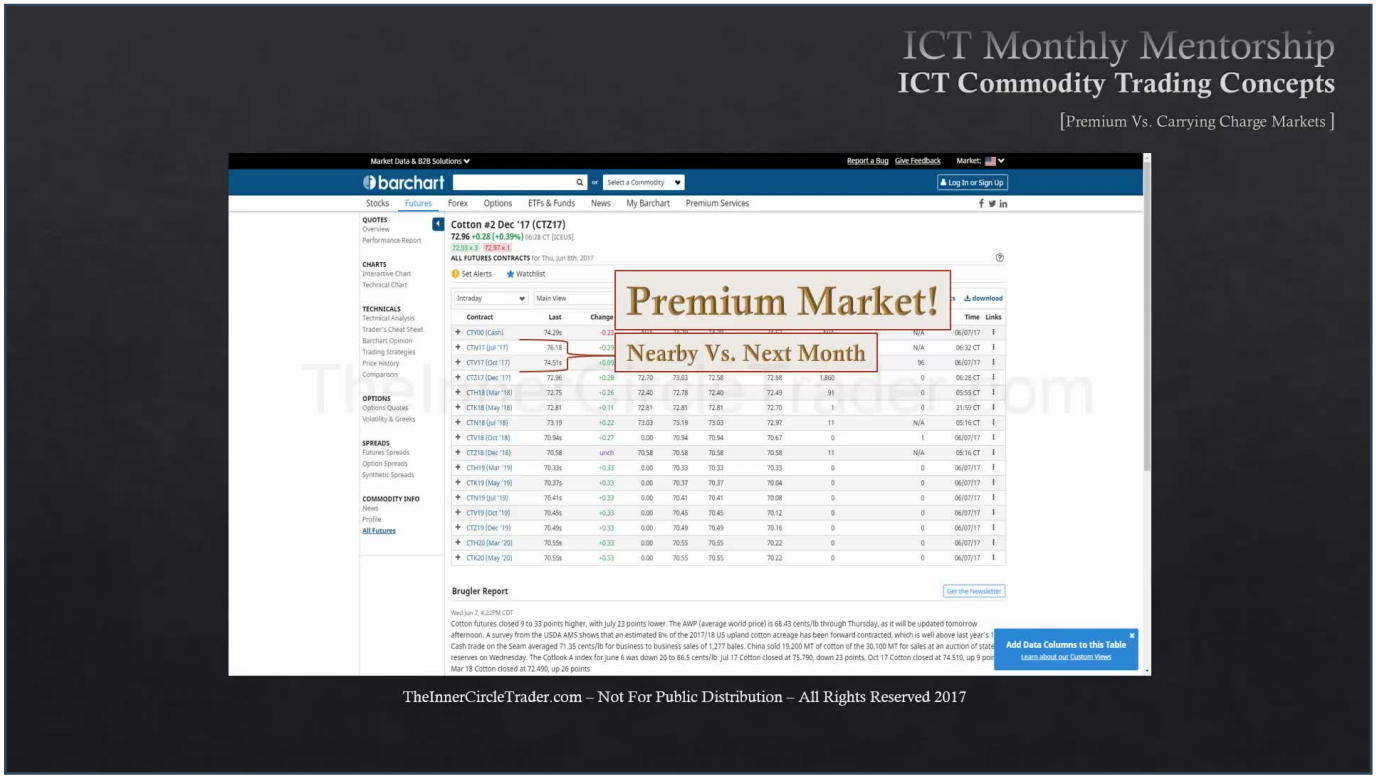


Let's take a look at a case study on the Cotton market. As I opened this teaching, you saw all the delivery months for cotton. Now, knowing what you're supposed to be looking for – and it's very simple – I want to ask a simple question:

- Does the Cotton market show us a carrying charge market or a premium market?

- Again, we start by referencing the nearby contract versus the next month out.

There is a premium here, so cotton is selling at a premium. Now we have the conditions ripe for a commercial bull market.



What is a commercial bull market? A bull market is classically seen with higher highs and higher lows and price increasing over time. Obviously, there are two different kinds of bull markets:

- One that goes up gradually, stair-stepping higher and higher.

- Another type of bull market that goes parabolic and vertical, doing it quickly.

The speed and magnitude of the move is usually a signature and hallmark of a premium-based rally. Usually, commodities that have a premium built in, like we're discussing here, have a tendency to move really quick and cover a lot of distance in a short amount of time.

We are looking at the daily chart of the nearby contract for cotton, represented by the July contract. When we look at Commodities, nothing is different in terms of how I look at price action; everything is based on PD arrays, premium and discount.

- When I say 'premium' in reference to Commodities, it refers to the specific pricing of the nearby contract relative to the next month out.

- If the nearby contract is selling at a higher price than the next month out, that is a premium.

- Do not confuse this with premium and discount PD arrays, or the PD array Matrix.

In this particular commodity case study, we will look at the implementation of the things I have already taught you, now using it with gauging whether there is institutional buying with a premium market.

Once we load up our nearby contract, we want to develop a spread chart. A spread chart is the difference plotted between a nearby contract and the next month out.

To create this on barchart.com:

- Click on the little tab in the lower right-hand corner to start the spread chart.

- Once your chart loads, go to 'chart type' and click 'spread chart'.

- Go to 'first symbol', click on the drop-down, and enter your commodity of choice (e.g., Cotton).

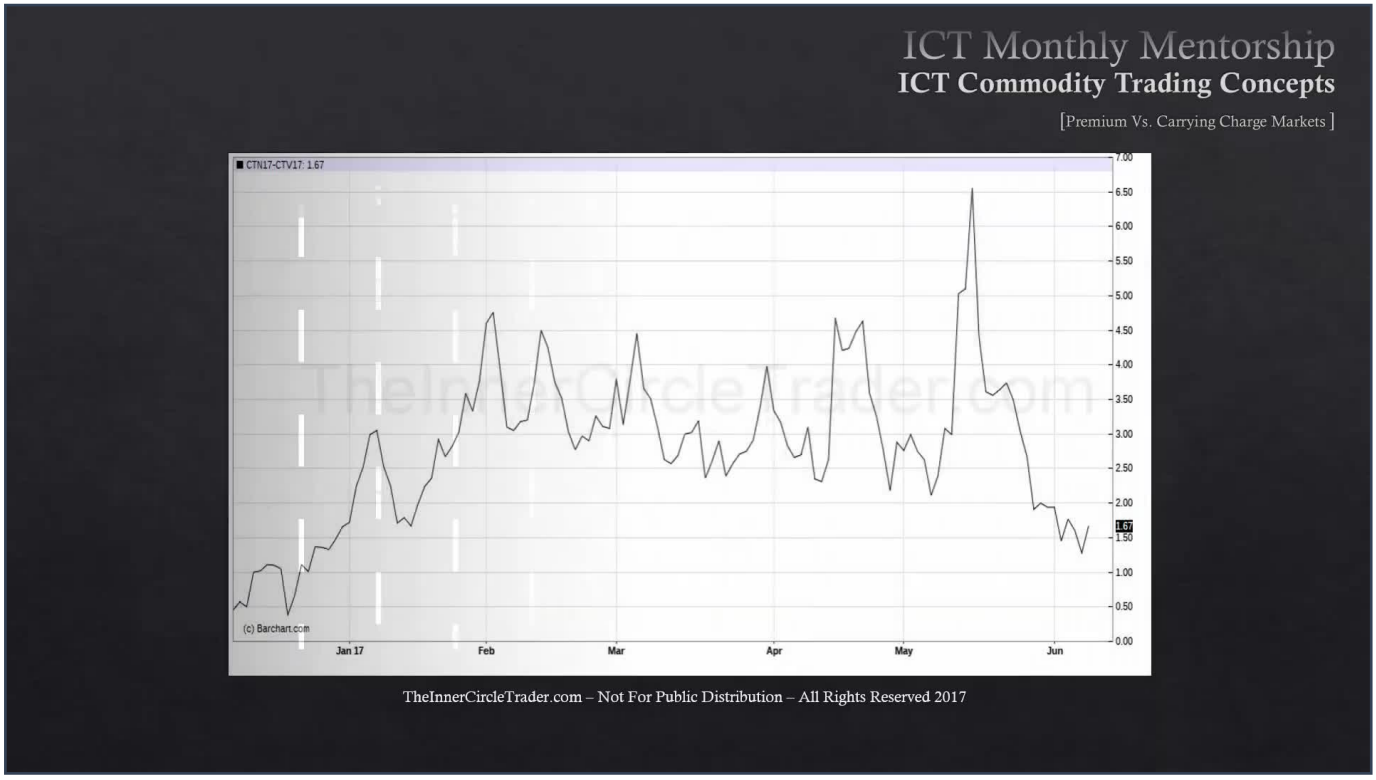
- Use the nearby contract delivery month (e.g., July 2017).

- Go to the 'second symbol' to do a spread between the nearby and the next month out (e.g., Cotton, October 2017).

- This is very important: click on the tab and make sure it's set to the minus symbol, as that will give you the difference between the nearby and the next month out.

- Scroll down and click 'draw'.

Now, you have the cotton spread chart between the July and October months.



The outcome is what you see, and the significance of this is the zero line.

- Anything above the zero line represents the amount of spread that the nearby contract is trading above the next month out.

- Ideally, the larger the spread, the stronger the likelihood of a commercial bull market or a parabolic move.

Observe the spike we saw in May. At its peak in May, the July contract was trading at a 6.50 premium higher than the October delivery contract. In other words, for July cotton, it was 6.50 higher than the October delivery contract for cotton.

BULLISH DIVERGENCE: PRICE VS. SPREAD LINE

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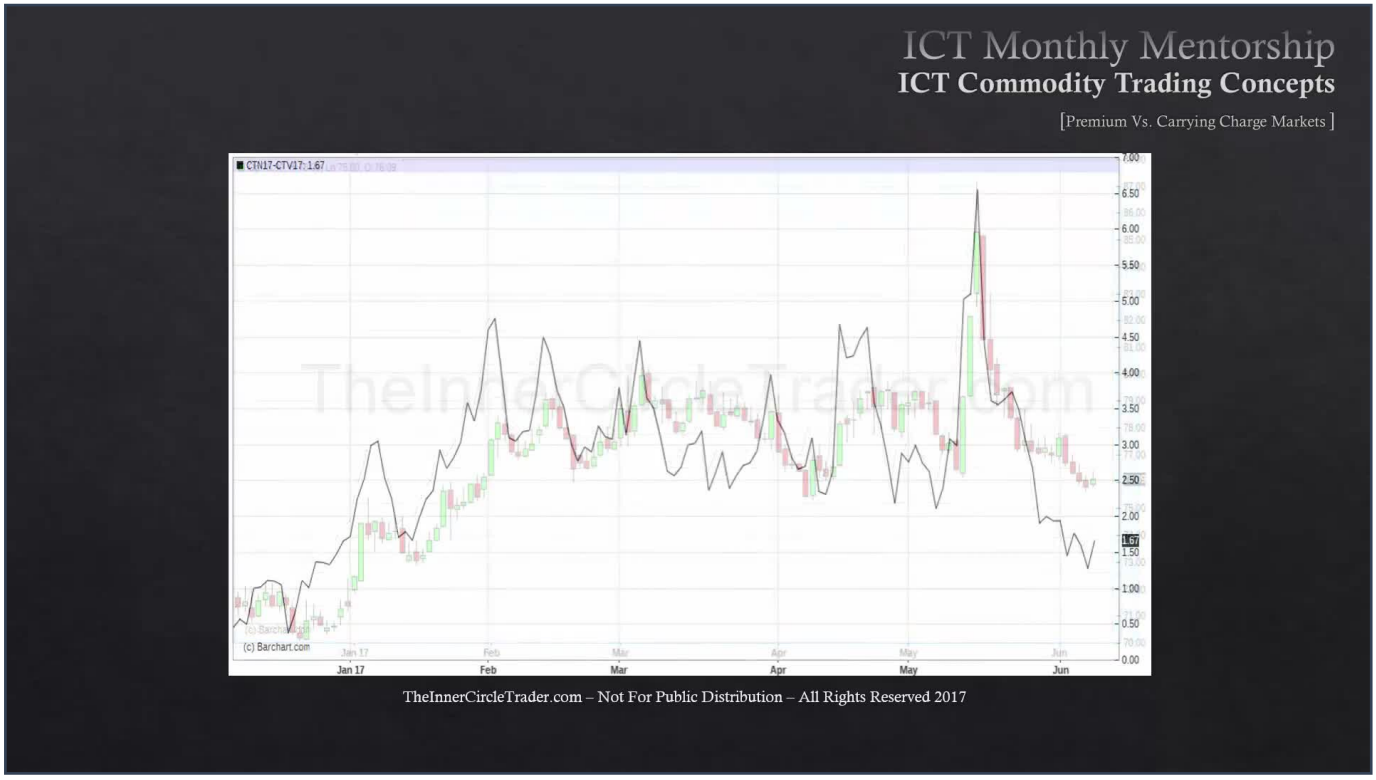


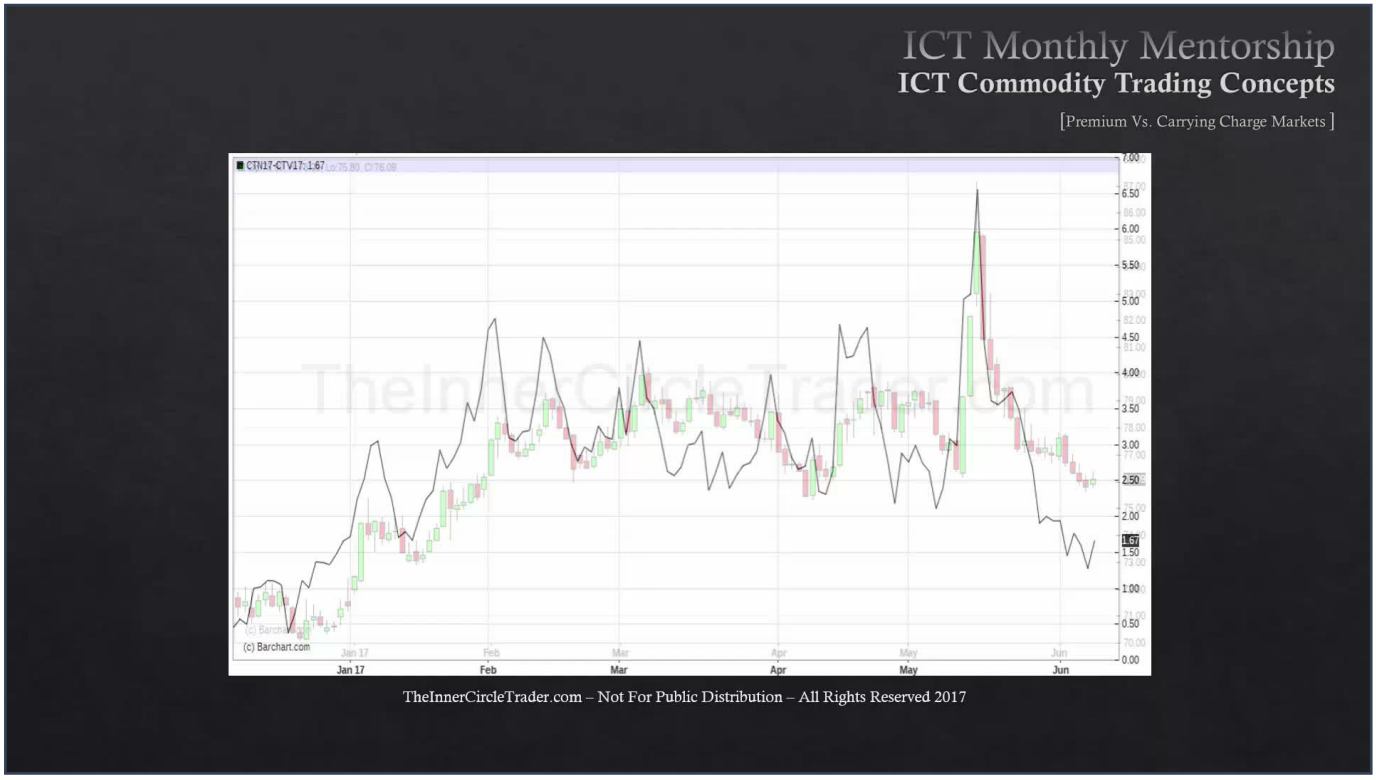
This is an overlay created to graphically show the use of the spread chart. When we look at price and expect higher prices, why would we expect them here? Cotton had been going higher and then entered consolidation from January this year, then from March, April, May it was in consolidation, but it had a premium. We also saw price trade down into a bullish order block in the first half of May.

- Notice the successive lower lows in that May decline; price made lower lows each day.

- However, look at the spread line: the spread line was actually increasing, or in this case, diverging bullishly.

- This looks like an indicator, but it's price. Price tells you everything about price. We don't need to crunch numbers or do acrobatic mathematics; it's simply an overlay of the spread of the nearby to the next month out.

What we do is look for bullish divergence between the price action of the nearby contract and the spread. You don't need an overlay like this, but it's provided for clear visual understanding. You can clearly see the divergence of the spread.



What's the significance of that divergence? That's a buy signal.

Going back to our July contract of cotton, we understand that institutional order flow will see bullishness when price trades down into a previous down-closed candle that saw price move away from it. This is your typical bullish order block. It's also trading down into the April high to April low range, into a discount.

- The PD array Matrix for that range shows we're in a discount range.

- We are at a bullish order block in a market (cotton) showing a premium, with July trading at a higher price than October (the next month out).

- We see lower lows in price action as we trade into the bullish order block, but we saw the spread diverging bullishly. This is only shown when institutions are stepping in and buying a lot of it quickly, massively.

If you ever see this when a market has an underlying bullishness premium, is in a discount, and trades into a discount array like a bullish order block or fills in a void or fair value gap, or if it trades below an old low:

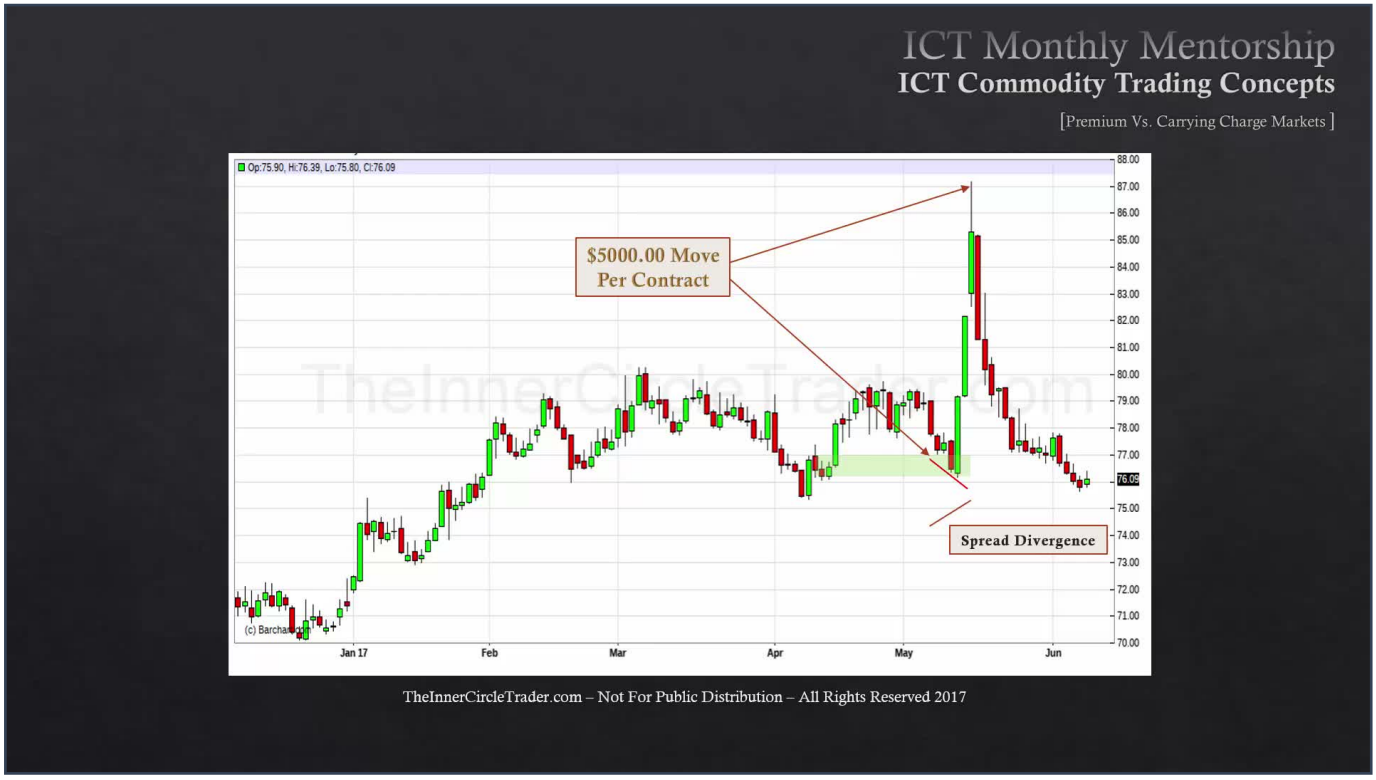
- In this case, we see it with the last two trading days of April. Price traded below those equal lows seen in April around the 77.80 level.

- Price trades down into the bullish order block, so we have a run on sell stops, a run into a bullish order block, and what would otherwise likely be an optimal trade entry (at the 79.7 transit level, for instance). This is a bullish spread divergence between the nearby and next month out.

When we see these indications in price, it gives us a strong willingness to support the idea of being a buyer.

We could be a buyer at 77, and it moves all the way to 87. That's a 10 cent move. One cent move is 500 in cotton. That's a 5,000 move in the course of less than a week. One contract in cotton pays out over 5,000.

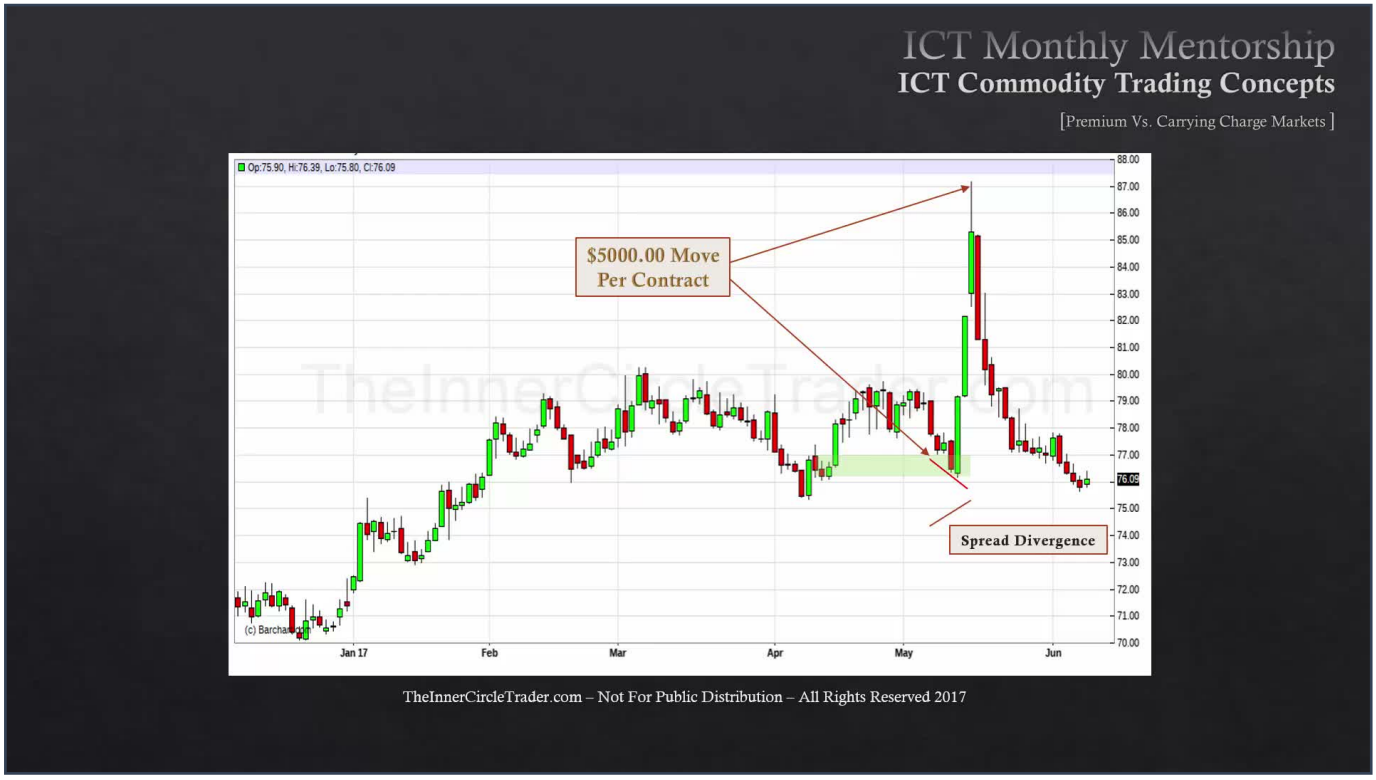
Now, obviously, we have the benefit of hindsight here, and you know I've been primarily a Forex trader, but these things are there every year. These are the hallmarks of what makes commodity trading fun in my opinion. If we can spend time looking at the dare I say it, fundamentals of a commodity market, we can get to a really strong bias for when we want to be a buyer.



This repeats itself in an opposite framework. When there is a premium in the marketplace, if the market makes a higher high (say for instance, if cotton trades up to 90 cents, higher than 87, not shown here) but it does so with a lower peak in the spread, that does not promote or significantly confirm institutional buying. You'd have to take that with a grain of salt because, just like anything else, you want to see the spread increase with the advancement in price.

- So if it's strong in terms of its premium-driven rally, that spread should be increasing as price rallies up.

- If we see a divergence bearishly, where the spread fails to make a higher high with a higher high in price, that would be an indication that we would have to look for reasons to trail a stop loss or maybe even take some profits and wait for a new buy signal as outlined here.



Now you've been armed with a wonderful smart money tool. This works in all commodities, and if you look at it from a fundamental standpoint, you will always be trading with the fundamentals if you're using a premium-based idea like we're describing here.

- If you ever had a doubt whether or not fundamentals are needed, in my opinion, they are for commodities because they are tangible, real things.

- It's the world's grocery store; everything that you eat or consume or need to operate in this world is usually in our commodity markets.

So now you have a way of framing institutional buying and selling and knowing when they're going to be doing explosive moves in the marketplace. Until the next lesson, I wish you good luck and good trading.